

It's critical for the innovative investor to understand the liquidity and trading volume profiles of cryptoassets and how they change as they mature. Given bitcoin's status and tenure, we'll begin there. Then for comparison, we'll pull in relevant examples from other top cryptoassets by market cap, such as ether, dash, ripple, monero, and litecoin.

BITCOIN'S LIQUIDITY AND TRADING VOLUME PROFILE

Bitcoin's liquidity has improved dramatically over time, and exchanges have grown from just Mt. Gox in July 2010 to over 40 as of the start of 2017.⁵ Equally, the order books of individual exchanges have matured. For example, consider that on the first day Mt. Gox traded bitcoin, only 20 were traded, totaling 99 cents of value. On opening day Mt. Gox had an extremely thin order book. Now sites such as Bitcoinity.org provide metrics like, "Spread 100 BTC [%]," showing how much the price of bitcoin would move on different exchanges if 100 bitcoin were bought.⁶

In Figure 9.1, we see that there are five exchanges where placing a trade for 100 bitcoin (at the time, worth about \$100,000) would not move the price more than 1 percent—and this was only for U.S. dollar-denominated order books. As can be seen in the upper-right tab, one can compare order books for different currency pairs, like the yuan, yen, euro, and so on.